

Town of Lunenburg



Financial Forecast Presentation

January 19, 2021

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What is a Financial Forecast?

- A financial planning and policymaking tool that projects revenues and expenditures conservatively over a multi-year period
- It is a “living document” that is used to evaluate the budget over a five year period and update forecast with changing financial data

Why Forecast?

- Provides a starting point from which a balanced budget is developed
- Projects likely outcomes based on historical practices
- Allows to look at “what if” scenarios
- Indicates future budget gaps
- Projects revenues and expenditures conservatively over a five year period
- Bond Rating Agencies look favorably upon communities that annually prepare a forecast document
- Required by Town’s Charter, Section 4-2 (s)

Forecasting v. Budgeting

- Forecast provides a long-term and “big picture” financial perspective on service delivery using both known information & assumptions on future revenues and expenditures.
- The Budget is a specific plan detailing service delivery in the coming fiscal year.

Goals of Forecasting

- Gain a long-term perspective/ basis for planning
- Determine whether fiscal problems are on the horizon
- Time to plan for change, favorable or unfavorable
- Reinforce the need for long-range considerations during the annual budget process

Forecasting- Key Concepts

- Uses reasonable, conservative assumptions that must be evaluated and updated each year
- Represents the community's projected financial position
- Is a tool to evaluate the impact of various budgeting decisions and policy choices over time
- Is a living document that can be adjusted
- Once you develop baseline projections, the underlying assumptions can be adjusted to address issues
- A forecasted shortfall needs to be examined and does imply that some action will be taken, or at least planned, to avoid the financing problem
 - Action to balance the budget
 - Raise revenue; Reduce expenditures

Forecasting Tools & Guides

- MGL, Town Bylaws, other Generally Accepted Standards
- Financial Policies
- Historical Trend Analysis
- Debt Service Schedules
- Union and Employment Contracts
- Assumptions

Financial Policies

- Current Financial Management Policies & Objectives include:
 - Exempt and Non-Exempt Borrowing & Debt Burden:
 - Reg. Debt no more than 4% of regular tax levy
 - Total of annual debt for exempt debt no more than 11% of tax levy
 - Net Debt Service of Exempt and Non-Exempt no more than 14% of the tax levy
 - Stabilization Fund Account: The deposit from Free Cash will be made in order to maintain a min. balance of 5% of the current FY Omnibus Budget
 - Use of Free Cash: 1) Reg. Stab. Account (above), 2) Fund non-reoccurring expenditures (Capital), 3) OPEB 4) Special Purpose Stabilization Fund
 - Capital Projects/ Purchases: Projects/Assets cost \$10,000 or more and useful life of 3+ yrs
 - OPEB Funding: 10% of certified Free Cash from previous fiscal year

Trend Analysis & Contractual Obligations

- Look at historical data to see what type of trends in revenues have occurred over periods of time. Use of historical data can assist in predicting future trends
- Current Union Contracts, Salary Administration Plan increases for non-union employees accepted by town meeting vote, employment contracts
- Other known contractual increases
- Forecast uses only the existing debt service schedules and allows us to project what available capacity there is to take on new debt

Assumptions for Financial Forecast- FY2022 - FY2026

Use data obtained from all sources mentioned to make assumptions about:

- Revenues
 - Property Taxes, State Aid, Estimated Local Receipts, Other Available Funds (Stabilization, Free Cash)
- Expenditures
 - All operational costs to provide equivalent staffing levels as FY21 and related expenses for existing programs. The FY2022-FY2026 Financial Forecast includes the long term staffing plan for Police and Fire and provides a scenario for staffing increases for the Lunenburg Public Schools.
 - Debt Service
 - Assessments for Regional Services
 - Pension costs, Health/Life Insurance, General Insurance, OPEB
 - Reserve Fund, Stabilization
 - State Assessments

Revenues

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Revenues: Known Figures and Assumptions

- **Property Taxes:** Forecast for FY22 increases property taxes by 2.5% (per Proposition 2 ½) and uses an estimate of \$280,590 for New Growth; Forecast for FY23-FY26 increases property taxes by 2.5% and uses an estimate of \$300,000 for New Growth. Property taxes also reflect added taxes from Bright Farms TIF for years FY23-FY26.
- **Debt Exclusions:** Debt Exclusions are added to the Tax Levy Limit and are known figures per the debt schedule as of this point in time. Forecast for FY22-FY26 increases or decreases the debt exclusion amounts each year to account for exempt borrowing.
- **State Aid:** Forecast for FY22 level funds State Aid from FY21, FY23-FY26 assumes a 2.5% increase from previous fiscal year.

Revenues: Known Figures and Assumptions

- **Local Receipts:** Forecast assumes level funding all local receipt categories with the exception of the Motor Vehicle category (increased by \$50K) for FY22 and assumes a 2.5% increase for MV Excise and a 2% increase in all other local receipt categories for FY23-FY26.
- **Other Available Funds:** Forecast for FY22 uses \$969,243 of our certified free cash. \$688,825 of that amount towards the FY22 Capital Plan, \$100,000 into the Stabilization Account, and \$180,418 into the OPEB Trust Fund to comply with our financial policies. The Forecast for FY23-FY26 does not predict the use of any Free Cash and “other available funds” are consistently used across FY22-FY26. Other available funds include funds from the Artificial Turf Revolving Fund to pay for turf field debt and MSBA funds reserved for debt service totaling approx. \$535,000 (drops off in FY24). Forecast assumes use of Special Purpose Stabilization funds in years with large vehicle purchases.
- Forecast for all five years assumes no draw on the regular stabilization account and assumes no new borrowing.

Revenues-Property Taxes

Town of Lunenburg

Revenue Projections

	FY2020 Budget	FY2021 Budget	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected
PROPERTY TAX LEVY							
Prior Year Tax Levy Limit	24,137,396	25,107,062	26,043,471	26,993,268	28,004,340	29,058,809	30,139,639
Amended Prior Growth							
2.5% Increase	603,435	627,677	651,087	674,832	700,109	726,470	753,491
Certified New Growth	366,231	308,732	280,590	300,000	300,000	300,000	300,000
Override							
TAX LEVY LIMIT TOTAL	25,107,062	26,043,471	26,975,148	27,968,100	29,004,449	30,085,279	31,193,130
Debt Exclusion(s)	2,947,348	2,852,779	2,828,812	2,831,932	2,477,704	2,313,898	2,213,678
Capital Expenditure Exclusion(s)							
Stabilization Fund Override	-	-	-				
Other Adjustment							
Water/Sewer							
MAXIMUM ALLOWABLE LEVY ①	28,054,410	28,896,250	29,803,960	30,800,032	31,482,153	32,399,177	33,406,808
LESS Excess Tax Levy Capacity	3	4,113	-	-	-	-	-
TOTAL Tax Levy ②	28,054,407	28,892,137	29,803,960	30,800,032	31,482,153	32,399,177	33,406,808

Revenues-State Aid

Town of Lunenburg

Revenue Projections

	FY2020 Budget	FY2021 Budget	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected
STATE AID CHERRY SHEET							
Chapter 70 Education Aid	7,771,740	7,771,740	7,773,938	7,968,286	8,167,494	8,371,681	8,580,973
Charter Tuition Reimbursement	36,345	36,345	64,708	66,326	67,984	69,683	71,426
Charter Facility Reimbursement		-	-	-	-	-	
Smart Growth	35,372	35,372	138,069	141,521	145,059	148,685	152,402
School Lunch (offset)		-	-	-	-	-	
School Choice Receiving Tuition (offset)	182,658	182,658	176,265	180,672	185,188	189,818	194,564
Unrestricted General Government Aid	1,122,928	1,122,928	1,122,928	1,151,001	1,179,776	1,209,271	1,239,502
Veterans Benefits	55,161	55,161	42,316	43,374	44,458	45,570	46,709
Exemptions VBS and Elderly	61,979	61,979	62,042	63,593	65,183	66,812	68,483
State Owned land	26,222	26,222	26,905	27,578	28,267	28,974	29,698
Police Career Incentive		-	-	-	-	-	
Public Libraries (offset)	16,524	16,524	20,448	20,959	21,483	22,020	22,571
TOTAL Cherry Sheet ③	9,308,929	9,308,929	9,427,619	9,663,309	9,904,892	10,152,515	10,406,327

Revenue- MSBA Reimbursement

Town of Lunenburg

Revenue Projections

	FY2020 Budget	FY2021 Budget	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected
TOTAL MSBA REIMBURSEMENT	474,239	474,239	474,239	474,239			

Revenues- Local Receipts

Town of Lunenburg

Receipt Projections

	FY2020 Budget	FY2021 Budget	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected
1. Motor Vehicle Excise	1,671,640	1,671,640	1,721,640	1,764,681	1,808,798	1,854,018	1,900,368
2a. Meals Excise	100,980	100,980	100,980	103,000	105,060	107,161	109,304
2b. Room Excise	-	-	-				
2c. Other Excise-Boat	-	-	-				
3. Penalties/Interest on Taxes and Excises	156,022	154,670	154,670	157,763	160,919	164,137	167,420
4. Payment In Lieu of Taxes	1,648	1,648	1,648	1,681	1,715	1,749	1,784
5. Charges for Services-Water							
6. Charges for Services-Sewer							
7. Charges for Services-Hospital							
8. Charges for Services-Solid Waste Fees							
9. Other Charges for Services	-	-	-				
10. Fees	164,267	164,267	164,267	167,552	170,903	174,321	177,808
11. Rentals	-	-	-				
12. Dept. Revenue-Schools	119,942	60,207	60,207	61,411	62,639	63,892	65,170
13. Dept. Revenue-Libraries							
14. Dept. Revenue-Cemeteries	5,350	4,100	4,100	4,182	4,266	4,351	4,438
15. Dept. Revenue-Recreation	-	-	-				
16. Other Departmental Revenue	276,947	262,600	262,600	267,852	273,209	278,673	284,247
17. Licenses/Permits	252,317	331,188	331,188	337,812	344,568	351,459	358,489
18. Special Assessments	14,031	11,844	11,844	12,081	12,322	12,569	12,820
19. Fines and Forfeits	27,213	27,213	27,213	27,757	28,312	28,879	29,456
20. Investment Income	62,935	62,935	62,935	64,194	65,478	66,787	68,123
21. Medicaid Reimbursement	-	-	-				
22. Misc. Recurring	-	-	-				
23. Misc. Non-Recurring	213,699	212,699	212,699	216,952	221,292	225,717	230,232
TOTAL Local Receipts-Budget ①	3,066,991	3,065,991	3,115,991	3,186,919	3,259,480	3,333,714	3,409,658

Revenues- Local Receipts

<u>Town of Lunenburg</u>				
Receipt Projections vs. Actual for FY20				
	FY2020 Projection	FY2020 Actual	Dollar Increase	Percent Increase
1. Motor Vehicle Excise	1,671,640	1,813,251	141,611	8.47%
2a. Meals Excise	100,980	134,867	33,887	33.56%
2b. Room Excise	-	-	-	-
2c. Other Excise-Boat	-	-	-	-
3. Penalties/Interest on Taxes and Excises	156,022	154,669	(1,353)	-0.87%
4. Payment In Lieu of Taxes	1,648	-	(1,648)	-100.00%
5. Charges for Services-Water	-	-	-	-
6. Charges for Services-Sewer	-	-	-	-
7. Charges for Services-Hospital	-	-	-	-
8. Charges for Services-Solid Waste Fees	-	-	-	-
9. Other Charges for Services	-	-	-	-
10. Fees	164,267	165,998	1,731	1.05%
11. Rentals	-	-	-	-
12. Dept. Revenue-Schools	119,942	60,207	(59,735)	-49.80%
13. Dept. Revenue-Libraries	-	-	-	-
14. Dept. Revenue-Cemeteries	5,350	4,100	(1,250)	-23.36%
15. Dept. Revenue-Recreation	-	-	-	-
16. Other Departmental Revenue	276,947	262,555	(14,392)	-5.20%
17. Licenses/Permits	252,317	331,255	78,938	31.29%
18. Special Assessments	14,031	11,844	(2,187)	-15.59%
19. Fines and Forfeits	27,213	37,183	9,970	36.64%
20. Investment Income	62,935	102,340	39,405	62.61%
21. Medicaid Reimbursement	-	-	-	-
22. Misc. Recurring	-	-	-	-
23. Misc. Non-Recurring	213,699	231,808	18,109	8.47%
TOTAL Local Receipts-Budget ①	3,066,991	3,310,076	243,085	7.93%

Revenues- Free Cash and Other Available Funds

Town of Lunenburg

Revenue Projections

	FY2020 Budget	FY2021 Budget	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected
AVAILABLE FUNDS/OTHER FINANCING							
Free Cash	1,298,232	858,356	969,243	-	-	-	-
Other Available Funds	282,710	143,964	315,859	352,397	325,140	41,483	434,454
TOTAL Available Funds	1,580,942	1,002,320	1,285,102	352,397	325,140	41,483	434,454

•The FY22 Free Cash amount reflects the recommended amount to be appropriated to capital(\$688,825), OPEB (\$180,418), and the regular stabilization fund (\$100,000). Other available funds includes the MSBA Reserve for Debt from Premiums (\$60,540), the annual amount from the Artificial Turf Revolving fund (\$44,318) to pay for the turf field, and funds from the Special Purpose Stabilization Fund (\$211,000). This leaves a remaining balance of \$834,942 in free cash.

•A Financial Forecast is not supposed to project Free Cash for future years that a certified amount is not known. This forecast does not project using Free Cash as a revenue source for FY23-FY26 and will only use free cash as a last resort for the FY22 operating budget as free cash should only be used on one time expenses or to put into reserves.

Revenue Assumptions- Enterprise Funds

- Revenues from Enterprise Funds are segregated from the general fund. These funds are self-supporting
- $\text{Receipts} = \text{Projected Expenses} + \text{indirect costs budgeted in the general fund}$
- Sewer, Water, Solid Waste, and Public Access
- Forecast includes indirect costs in revenue projections such as health insurance, retirement costs for enterprise employees, and associated enterprise debt payments.

Expenditures

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Expenditures

- Forecast uses conservative approach
- Looks at actual expenditures from previous years for historical trends
- Uses the current budget year as the base
- Personnel costs: Covers obligations in collective bargaining contracts, employment contracts, and approved wage and classification plans for non-union personnel.
- Provides a 2% COLA scenario if all collective bargaining units whose contracts are up for renewal, expiring employment agreements, and expiring COLA for non-union employees. This will indicate the net effect.
- Expenses: Look at annually, historical expenditures, forecast conservatively and maintains current programs.

Expenditure Categories

- Personnel and expenses related to providing the same programs and staffing levels which includes contractual obligations with the exception of long term Police and Fire Staffing Plans. Provides scenario for long term staffing plan for LPS
- Education costs
- Debt Service (General Fund, Enterprise Funds, Temp. Interest)
- Capital
- Group health/life insurance, retirement, general insurance
- Amounts to be raised: Tax Title, Overlay, Cherry Sheet Offsets, Prior year deficits, snow and ice deficits, court judgments
- State Assessments
- Reserve Fund, Special Articles, transfers to stabilization, special purpose stabilization, OPEB

Expenditure Assumptions

- Forecast document:
 - Adheres to adopted financial policies
 - Deposits funds into the Stabilization Fund to maintain required balance
 - Deposits funds into the OPEB Trust Fund per policy
- Forecast for FY22 reflects target budget figures that departments were asked to meet when developing their budget
- State Assessments and Cherry Sheet Offsets level funded for FY22 and assumes 2.5% increase for FY23-26
- Level funds the Tax Title Cost \$24,000 for FY22 and increases by 2% in FY23-FY26.
- Funds the Overlay Account in FY22 at \$120,000 and increases the Overlay Account by \$10K each subsequent year of the forecast based on historical data
- Assumes level funding the Reserve Account

Expenditure Assumptions Cont.

- Forecast for FY22 provides for contractual increases for existing staff with the exception of added staff for Police and Fire; certain known costs (i.e. Worcester County Retirement), provides for 3% increase in active Health Insurance and 5% for retiree health insurance costs, 2% increase in Retirement Assessment, includes a 5% increase in Other Insurance costs, provides for a 2.5% increase in Schools; increases the Pavement Management Plan by \$50K; provides for \$100K for Stormwater; level funds the Reserve Accounts; level funds departmental expense accounts; assumes no new debt; provides for \$600K in tax revenues for Capital, \$180,418 for OPEB in FY22, and \$100,000 in the regular Stabilization account. Currently does not deposit funds into Special Purpose Fund.

Expenditure Assumptions Cont.

- Forecast for FY23-FY26 provides for contractual increases for existing staff with the exception of added staff for Police and Fire; provides for 8% increase in Health Insurance costs, 10% increase in Retirement Assessment, 5% increase in other Insurance costs, provides for a 2.5% increase in Schools; increases the Pavement Management Plan by \$50K each year; provides for between \$90K-\$120K for Stormwater each year based on MS4 requirements; assumes no new debt; increases the FY22 \$100K for Stabilization by 2.5% each year, \$100K into OPEB each year, and increases the \$600K in FY22 by 2.5% for each future year for Capital.

Expenditures

	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Expenditures						
General Government	1,607,284	1,676,186	1,715,392	1,770,410	1,856,191	2,005,829
Public Safety	3,625,503	3,854,868	4,098,106	4,261,419	4,439,384	4,623,574
Education	22,029,972	22,580,279	23,144,344	23,722,510	24,315,131	24,922,567
Public Works	1,810,104	1,813,574	1,910,623	1,987,779	2,101,995	2,158,040
Facilities & Buildings	753,579	754,265	756,313	769,580	783,245	799,153
Recycling Program	218,634	249,534	261,632	274,327	287,649	301,629
Health & Sanitation	83,539	89,540	92,553	95,690	98,955	102,354
Library	435,044	418,355	447,916	464,930	482,672	482,672
Public Assistance	266,242	273,123	277,995	281,946	285,517	289,193
Debt Service	4,699,521	4,562,594	4,509,623	3,515,757	2,939,910	2,547,440
General Government Unclassified	3,159,192	3,469,059	3,714,093	3,978,611	4,264,201	4,572,581
Central Purchasing	56,280	56,280	57,406	58,554	59,725	60,919
Other Amounts Raised	1,841,213	1,871,783	2,040,408	2,224,481	2,425,538	2,650,561
State Assessments	1,036,576	1,065,287	1,091,919	1,119,217	1,147,198	1,175,878
Free Cash/Other Financing Uses	2,046,600	1,780,243	1,741,361	1,781,874	1,823,391	1,863,769
Total Expenditures	\$ 43,669,284	\$ 44,514,969	\$ 45,859,684	\$ 46,307,084	\$ 47,310,701	\$ 48,556,161

Expenditures-Debt

Town of Lunenburg							
Debt							
	Issue Date	FY2021 Budget	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected
Total General Fund Regular Debt		\$ 507,123.56	\$ 492,914.02	\$ 455,012.39	\$ 331,110.15	\$ 314,208.65	\$ 148,739.74
Total General Fund Excludable Debt		\$ 3,387,830.58	\$ 3,363,591.91	\$ 3,366,433.55	\$ 2,537,672.52	\$ 2,313,902.52	\$ 2,213,677.52
Total General Fund Short-term Interest		\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total Sewer Debt		\$ 800,201.18	\$ 702,691.70	\$ 685,558.29	\$ 645,143.85	\$ 310,433.44	\$ 183,792.63
Grand Total Debt Service		\$ 4,695,155.32	\$ 4,559,197.63	\$ 4,507,004.23	\$ 3,513,926.52	\$ 2,938,544.61	\$ 2,546,209.89
Premiums/MSBA Reimb Excludable Debt		\$ 535,051.19	\$ 534,779.55	\$ 534,501.26	\$ 59,968.64	\$ 4.19	\$ -
Net Excludable Debt - Tax Levy - DE1		\$ 2,852,779.39	\$ 2,828,812.36	\$ 2,831,932.29	\$ 2,477,703.88	\$ 2,313,898.33	\$ 2,213,677.52
Regular Debt Administrative Fees		\$ 237.40	\$ 211.51	\$ 185.10	\$ 158.15	\$ 130.66	\$ 102.62
Sewer Debt Administrative Fees		\$ 4,128.72	\$ 3,184.46	\$ 2,434.03	\$ 1,672.43	\$ 1,234.72	\$ 1,127.85
Transfer from Sewer Enterprise - Sewer Debt Service		\$ 804,329.90	\$ 705,876.16	\$ 687,992.32	\$ 646,816.28	\$ 311,668.16	\$ 184,920.48
Transfer from Septic Receipts Reserved							
Meadow Woods Water Betterment Revenue		\$ 55,837.50	\$ 54,837.50	\$ 58,837.50	\$ 57,587.50	\$ 56,337.50	\$ 55,087.50
Transfer from Artificial Turf Revolving		\$ 46,473.00	\$ 44,318.19	\$ 42,134.74	\$ 39,321.78	\$ 41,478.43	\$ 38,453.78
Net Regular Debt Service		\$ 405,050.46	\$ 393,969.84	\$ 354,225.25	\$ 234,359.02	\$ 216,523.38	\$ 55,301.08
% of Net Regular Debt to Levy (cap of 4% per Policy)		1.56%	1.46%	1.27%	0.81%	0.72%	0.18%
Net Excludable Debt		\$ 2,852,779.39	\$ 2,828,812.36	\$ 2,831,932.29	\$ 2,477,703.88	\$ 2,313,898.33	\$ 2,213,677.52
% of Excludable Debt to Total Levy (cap of 11% per Policy)		9.87%	9.49%	9.19%	7.87%	7.14%	6.63%
% of Aggregate Debt Service Costs to Total Levy (cap of 14% per Policy)		11.28%	10.81%	10.34%	8.61%	7.81%	6.79%

Five Year Forecast:

Revenues vs. Expenditures

Town of Lunenburg

Summary of Projected Revenues and Expenditures

	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Grand Total Revenues	\$45,300,572.81	\$44,930,398.30	\$45,288,330.37	\$45,747,990.44	\$46,374,043.15	\$47,987,761.50
Grand Total Expenditures	\$45,300,572.81	\$44,514,969.23	\$45,859,684.06	\$46,307,084.15	\$47,310,700.75	\$48,556,160.65
Total Surplus/(Shortfall)	0	415,429	(571,354)	(559,094)	(936,658)	(568,399)

Debt Capacity per Current Debt Policy

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Debt Capacity

	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected
Net Regular Debt Service	\$ 393,969.84	\$ 354,225.25	\$ 234,359.02	\$ 216,523.38	\$ 55,301.08
% of Net Regular Debt to Levy (cap of 4% per Policy)	1.46%	1.27%	0.81%	0.72%	0.18%
Net Excludable Debt	\$ 2,828,812.36	\$ 2,831,932.29	\$ 2,477,703.88	\$ 2,313,898.33	\$ 2,213,677.52
% of Excludable Debt to Total Levy (cap of 11% per Policy)	9.49%	9.19%	7.87%	7.14%	6.63%
% of Aggregate Debt Service Costs to Total Levy (cap of 14% per Policy)	10.81%	10.34%	8.61%	7.81%	6.79%
Levy Limit w/o Debt Exclusions	\$26,975,148.00	\$27,968,100.00	\$29,004,449.00	\$30,085,279.00	\$31,193,130.00
Levy Limit w/ Debt Exclusions	\$29,803,960.36	\$30,800,032.29	\$31,482,152.88	\$32,399,177.33	\$33,406,807.52
Max Net Regular Debt (4%)	\$ 1,079,005.92	\$ 1,118,724.00	\$ 1,160,177.96	\$ 1,203,411.16	\$ 1,247,725.20
Max Net Excludable Debt (11%)	\$ 3,278,435.64	\$ 3,388,003.55	\$ 3,463,036.82	\$ 3,563,909.51	\$ 3,674,748.83
Max Aggregate Debt (14%)	\$ 4,172,554.45	\$ 4,312,004.52	\$ 4,407,501.40	\$ 4,535,884.83	\$ 4,676,953.05
Annual Debt Capacity Reg.	\$ 685,036.08	\$ 764,498.75	\$ 925,818.94	\$ 986,887.78	\$ 1,192,424.12
Annual Debt Capacity Excludable	\$ 449,623.28	\$ 556,071.26	\$ 985,332.94	\$ 1,250,011.18	\$ 1,461,071.31
Annual Debt Capacity Agg.	\$ 949,772.25	\$ 1,125,846.98	\$ 1,695,438.50	\$ 2,005,463.12	\$ 2,407,974.45

Impact of 2% COLA on expiring Agreements for Union, Non- Union and Employees with Employment Agreements

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2% COLA Financial Impact

Town of Lunenburg

Financial Impact Analysis (Excludes schools and other negotiated benefits in a CBA)	2%	2%	2%	2%	2%
	FY2022 Projected	FY2023 Projected	FY2024 Projected	FY2025 Projected	FY2026 Projected

General Fund:

Employees with Employment Contracts	\$6,745	\$6,880	\$7,017	\$7,158	\$7,301
Clerical Contract (expires 6/30/21)	\$13,876	\$14,154	\$14,391	\$14,623	\$14,820
Fire Contract (expires 6/30/21)	\$13,947	\$14,226	\$16,268	\$16,756	\$17,259
DPW Contract (expires 6/30/21)	\$9,512	\$9,702	\$9,896	\$10,094	\$10,296
Police Contract (expires 6/30/22)		\$31,089	\$31,711	\$32,345	\$32,992
Non-union Employees (expires 6/30/22)		\$15,563	\$15,875	\$16,192	\$16,516
TOTAL GF Financial Impact of COLA	\$44,080	\$91,614	\$95,158	\$97,168	\$99,183

Cost to Fund First Year of COLA	\$44,080	\$46,652	\$30,659	\$17,252	\$49,508
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Enterprise Funds:

PEG Non-Union Employee (expires 6/30/22)		\$944	\$963	\$983	\$1,002
Sewer Non-Union Employees (expires 6/30/22)		\$1,349	\$1,376	\$1,404	\$1,432
TOTAL Enterprise Financial Impact of COLA		\$2,294	\$2,340	\$2,386	\$2,434

School Five Staffing Plan

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School Five Year Staffing Plan Expenditures

	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
	Actual Per Recap	Projected	Projected	Projected	Projected	Projected
EDUCATION						
Lunenburg Public Schools	21,123,602.00	22,695,772.05	23,818,846.35	24,711,437.51	25,617,232.45	26,808,032.26
Curriculum Update - Non-Recurring	17,686.00	17,686.00	17,686.00	17,686.00	17,686.00	17,686.00
Monty Tech Assessment	888,684.00	910,901.10	933,673.63	957,015.47	980,940.85	1,005,464.38
Total Education	22,029,972.00	23,624,359.15	24,770,205.98	25,686,138.98	26,615,859.30	27,831,182.64

The Proposed Five Year Staffing Plan for the School includes an additional \$1,044,080 in FY22, an incremental amount of \$555,680 in FY23, an incremental amount of \$297,120 in FY24, an incremental \$288,009 in FY25, and an incremental \$550,369 in FY26. This carries forward all associated costs for any new positions in the five year staffing plan, including health insurance costs at 2.5% increase. This scenario is based on these amounts being on top of the projected 2.5% each year of the forecast.

Five Year Forecast:

Net Effect of LPS Staffing Plan

Summary of Projected Revenues and Expenditures						
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Financial Impact of LPS Staffing Plan						
Grand Total Revenues	\$45,300,572.81	\$44,930,398.30	\$45,288,330.37	\$45,747,990.44	\$46,374,043.15	\$47,987,761.50
Grand Total Expenditures	\$45,300,572.81	\$45,559,049.23	\$47,485,546.06	\$48,270,712.70	\$49,611,429.01	\$51,464,776.12
Total Surplus/(Shortfall)	0	(628,651)	(2,197,216)	(2,522,722)	(3,237,386)	(3,477,015)

Forecast Conclusions

- **Conclusions:**
 - Indicates deficits in Fiscal Years 23-26. This is largely due to the fact that the Revenue projections for FY23-FY26 does not assume the use of Free Cash but has expenditures on the Expenditure projections that are annually offset by the use of Free Cash.
 - Continue to review a long term staffing plan for the School to achieve their intended results.
 - Review Debt Schedule to look at funding scenarios for proposed TCP Building project

Forecast Next Steps

- Continued discussion of Assumptions and Scenarios
- Firm up Revenue Estimates for FY22 when receive the Governor's FY22 Proposed Budget
- Receive insurance rate range at end of January and renewals mid-February
- TM work with Superintendent on budget that is ultimately approved by School Committee
- Monty Tech Assessment mid-March
- Currently reviewing FY22 Budget submissions
 - Town Manager's Recommendation –February 11, 2021
 - BOS & FinCom Review, February – March 2021
 - Annual Town Meeting- May 1, 2021